

decisions based solely on accounting ratios is not enough to ensure profitable returns. Today, most investors rely on John Burr Williams's classic definition of value, as described in his book *The Theory of Investment Value* (Harvard University Press, 1938): The value of any investment is the discounted present value of its future cash flow. We will learn more about the dividend discount model in Chapter 3.

For now, we should note that both Graham's methods—buying a stock for less than two-thirds of net asset value, and buying stocks with low price-to-earnings multiples—had a common characteristic. The stocks that he selected based on those methods were deeply out of favor with the market and, for whatever reason, were priced below their value. Graham felt strongly that these stocks, priced “unjustifiably low,” were attractive purchases.

Graham's conviction rested on certain assumptions. First, he believed that the market frequently mispriced stocks, usually because of the human emotions of fear and greed. At the height of optimism, greed moves stocks beyond their intrinsic value, creating an overpriced market. At other times, fear moves prices below intrinsic value, creating an undervalued market. His second assumption was based on the statistical phenomenon known as *reversion to the mean*, although he did not use that term. More eloquently, he quoted the poet Horace: “Many shall be restored that now have fallen, and many shall fall that now are in honor.” However stated, by statistician or poet, Graham believed that an investor could profit from the corrective forces of an inefficient market.

Philip Fisher

While Graham was writing *Security Analysis*, Philip Fisher was beginning his career as an investment counselor. After graduating from Stanford's Graduate School of Business Administration, Fisher began work as an analyst at the Anglo London & Paris National Bank in San Francisco. In less than two years, he was made head of the bank's statistical department. From this perch, he witnessed the 1929 stock market crash. Then, after a brief and unproductive career with a local brokerage house, Fisher decided